Australia's Trade in Goods Account, April

#trade #australia

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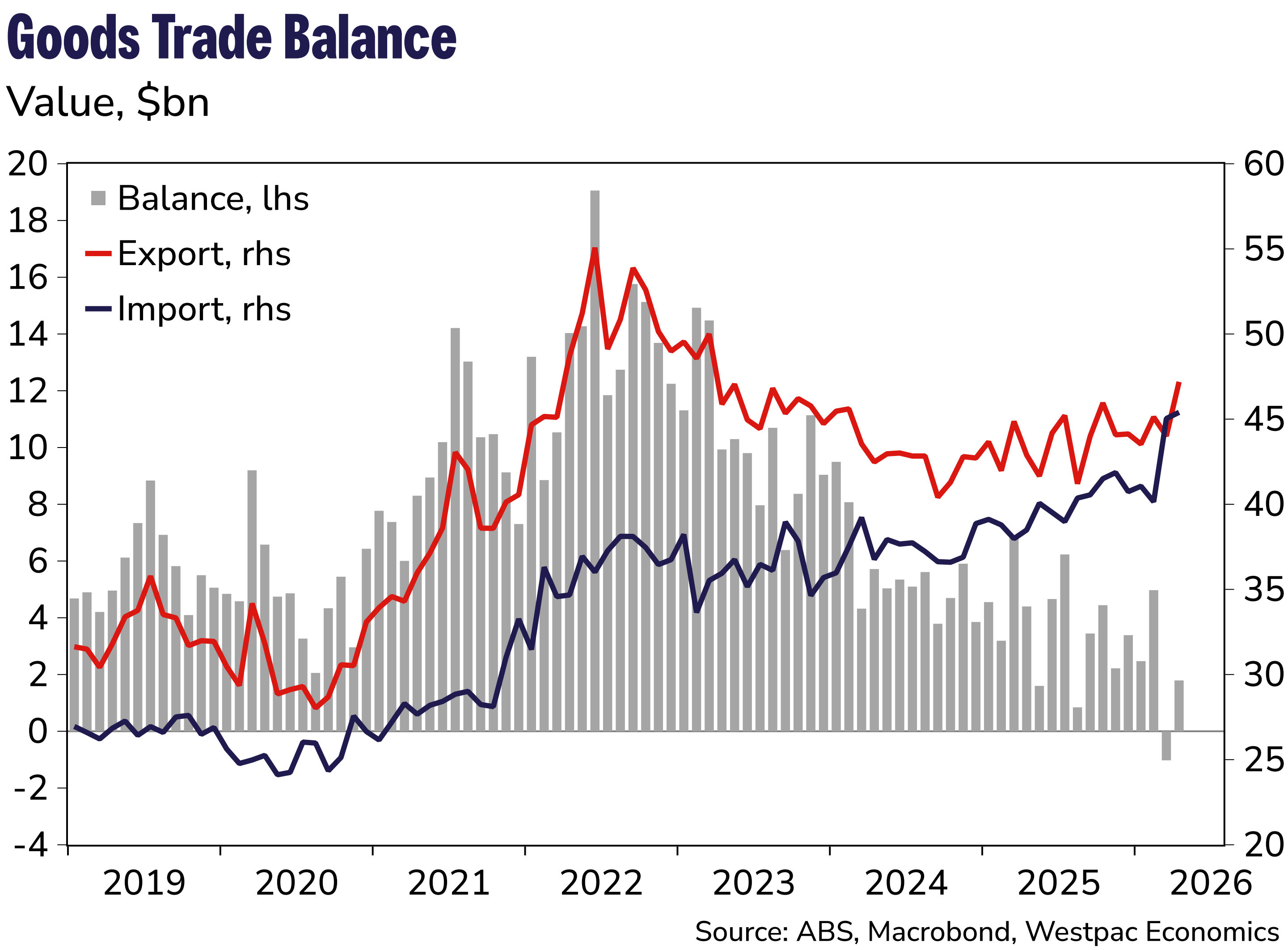
Australia's monthly goods trade balance recovered in April, returning to a surplus after falling into deficit for the first time since 2017. A recovery in major commodity exports lifted total exports, while large movements in ADP and fuel categories broadly offset each other on the imports side. Trade balance: $1.8bn. Export values: 7.2%mth. Import values: 0.8%mth.

Yesterday's Q1 national accounts confirmed what the Balance of Payments data indicated the day before – the external sector was a significant drag on Australia's GDP growth in Q1 2026. It detracted 0.8ppt from quarterly growth, marking the weakest outcome in two years, with both lower exports and higher imports weighing on net exports. While services trade contributed materially to this weakness, the more notable developments were on the goods side. Weather events disrupted major commodity exports, while strong data centre investment saw Automated Data Processing (ADP) equipment import volumes almost double within a single quarter.

Today's monthly goods trade data for April points to a partial reversal of the weakness in commodity exports observed in Q1, alongside a sharp increase in fuel imports and a moderation in ADP inflows. Together, these developments saw the headline goods trade balance return to a surplus of $1.8bn, following the first deficit since the end of 2017, of $1.0bn.



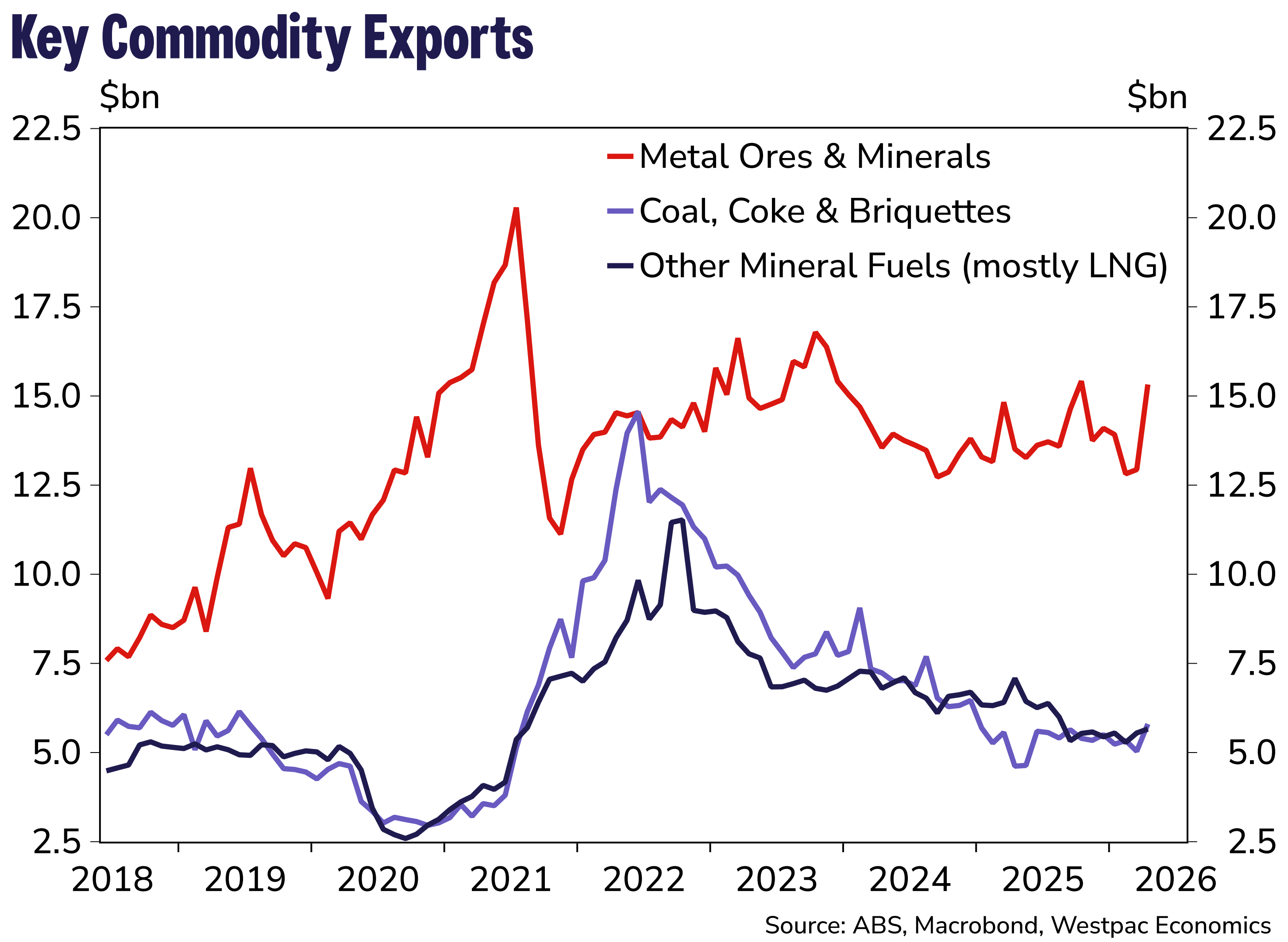
Exports

Export earnings rose 7.2%mth to their highest level in more than three years. Commodity export earnings were the primary driver, increasing by almost 14% and reversing much of the weakness seen over the first three months of the year. Iron ore exports were particularly strong, rising 18.5%mth, while coal exports also recorded a sizeable 15.2%mth increase.

Additional ABS detail on volumes and unit values suggests that most of the increase in these categories reflected higher export volumes, with prices making only a modest contribution to nominal gains.

LNG exports also increased, up 2.0%mth, driven by higher prices. In the context of reduced global supply amid conflict in the Middle East and disruptions to shipping through the Strait of Hormuz., Australian LNG exporters should be well placed to benefit, but capacity constraints in production and shipping are likely limiting their ability to respond.

Among other categories, rural exports increased 4.4%mth, partially recovering from a sharp decline in March. Gold export values declined for a second consecutive month, broadly in line with a downward trend in global gold prices since early March.

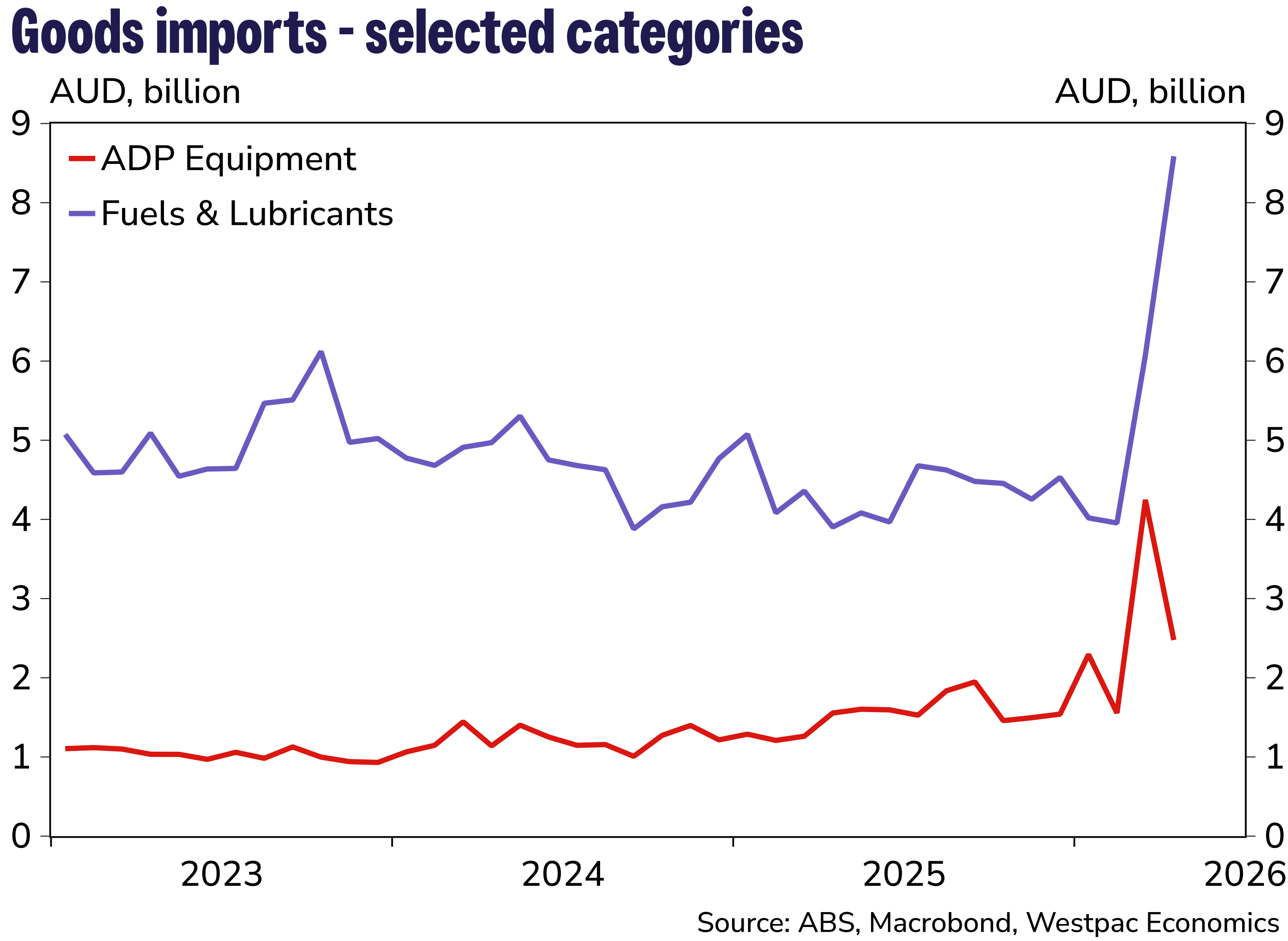


Imports

Import values rose 0.8%mth, a modest increase following a 12.2%mth jump in March. ADP equipment imports remain a key swing factor: after having nearly tripled in March, imports fell 42% from $4.2bn to $2.5bn, though this is still well above the $1.6bn recorded in February. As a result, total capital goods imports declined 16.4%mth, the largest monthly fall since early 2003.

The moderation in ADP imports was offset by a sharp increase in fuel imports, which rose 41.4%mth, building on top of the 53.6% increase in March. Detail reported by the ABS indicated that crude petroleum and gasoline volumes declined after the March surge, but this was offset by higher prices. Jet fuel (kerosene) also recorded a large price increase of almost 50%, with volumes broadly unchanged. For diesel, both volumes and prices rose, each by around 40%.

These developments contributed to a 15.0%mth increase in intermediate goods imports. In contrast, consumption goods imports fell 1.6%mth, with increases in food and transport equipment offset by declines in categories such as clothing, electrical items and leisure goods.



Looking ahead

The recovery in commodity exports in April provides a firmer base for export performance in Q2. However, from a net trade perspective, near-term dynamics are likely to be driven more by developments on the imports side.

The situation in the Middle East remaining highly uncertain, and the latest exchange of fire between the US and Iran is doing little to advance negotiations for peace and a full reopening of sea traffic through the Strait of Hormuz. Against this backdrop, fuel imports – both volumes and prices – are likely be particularly volatile over the coming months and quarters.

At the same time, the Westpac-DataX Card Tracker Index points to a slowing in non-fuel consumer spending this quarter, suggesting consumption goods imports are likely to remain subdued in the near term. This may, however, be partially offset by developments in data-centre investment and demand for ADP imports.

Our estimates indicate a sizeable pipeline of data centre investment that will have a material impact on economic activity and import demand over time. However, these effects are likely to emerge gradually over the medium to long term. In the near term, ADP import flows are likely to remain volatile, with month-to-month swings contributing to sharp changes in monthly trade outcomes.

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